

BUSINESS PLANS AND PROGRAMS FOR LUMBER DEALER

I. Introduction:

Lumber industry is able to provide a large quantity and a greater variety of wood species because of Technology. Today, our lumber industry grows more every year because of the demand in both construction and furniture-making industries in our local Market. One important role need by wood industry is how to market the lumber product, may it be local, or export. Falcateria species are among the major softwood species that offered great demand in local markets.

II. Basic Information:

1. Background

SRA LUMBER TRADING is engaged in lumber buying and selling. Lumber from plantation species are the only lumber products acceptable. Its location is at Crossing Cuevas, Barangay Cuevas, San Francisco, Agusan del Sur and nearby communities. All lumber being purchased and delivered to its store will pass thru strict quality check according to the market specifications. Lumber that will not passed quality checked will be fall down and subject to reprocessing into small sticks for another market. Its supplied wood is for both export markets and even to local market. The proponent being a lumber dealer has venture into securing enough supply of lumber from legit and legal processors and owner of lumber processing for a long-time wood lumber supply agreement in order to sustain its operation.

2. Location:

SRA LUMBER TRADING is located at Crossing Cuevas, Barangay Cuevas, Trento, Agusan del Sur. Portion of Lot No 5680-c , Pls-4 (Eca) under TCT No. T-29083

III. PRODUCTION PROGRAM

A. Processing and Operation Program

1. Lumber Supply Source

Lumber materials will be sourced from the Lumber Supply contract issued between the PTPR holder as the supplier and the lumber trading store as the buyer. If the need arises, the proponent will also resort to securing lumber

materials from other legitimate nearby provinces that are also holders of lumber processing permits.

2. Lumber Quantifying and Quality Check

Lumber accepted area based on market requirement. Current requirement sizes area from standard of 2inches thick, from 3inches up wide and a length of 4.5 ft. in the event that there are lumbers that do not pass the sizes or quality, using the one unit of bandsaw machine allowed by the department to us, which intended for such event, the proponent will then recut, resize and requalify and cut into smaller pieces of stick for another market. And the fall down, rejects will be sold as firewood. The finished lumber after quality check, will filed and ready for stuffing unto dry container van for transport to buyer.

B. Employment Program

The proposed lumber yard will be handled manage with a total manpower of Three (3) personnel for both administrative and operation department. The proponent may secure or sourced out working force from employment agencies for possible immediate and short-term need depending on the current need of the lumber yard's operation. The manpower will receive salaries and other benefits as prescribe by our existing labor laws.

C. Cost Reduction Program

Aside from quality raw materials, efficient needed equipment or machines, the proponent will see to it that hiring of well-equipped and qualified personnel is one of the most important key in cost reduction. The proponent will also prioritize the welfare of the employees.

D. Waste Utilization Program

Wastes from lumber such as rejected lumbers, sticks, possible sawdust, trimmings and cut outs be gathered and processed into other economical uses like industrial fuel for the plant while sawdust are either utilized for filling up the lumber yard premises or even to private individuals requiring the same products.

E. Pollution Control Program

The proposed lumber dealer yard will abide to all pollution control measures promulgated by the Environmental Management Bureau (EMB) and shall properly dispose of its wastes so as not to contribute to the pollution in the vicinity or in the locality.

IV. FINANCIAL PROGRAM

The lumber dealer trading requires capitalization, in securing for its yard, office building, stocking area for incoming, qualifying area for quality check, stocking area of finished products and a loading area and material recovery facility, also procurement of allowed machine or equipment needs capitalization. All in all roughly estimated at about Two Hundred Thousand Pesos (200,000.00) for a start.

V. MARKETING PROGRAM

A. Products

The proponent's lumber product will be out and disposed to markets of both local and export. Lumber products accepted is mainly planted species of Falcataria, but not limited to Gmelina, Bagras, Mangium as well as lumber from naturally grown trees of legitimate sources if needed. Thickness and dimensions shall be accordance to pre-agreed requirements of the buyer and its quality shall be compliant to prevailing market standards. Likewise, production schedule shall match with the required delivery dates of the buyer. All lumber wood materials shall be covered with the necessary DENR documents and shall follow existing guidelines of reporting and documentation.

B. Pricing

Prices of finished products shall be negotiated by both parties using relevant references like prevailing market price, pre-agreed terms and related conditions that will give both parties equitable share of economic benefits that can be generated from the wood processing plant.

VI. VALIDITY

The validity of this Business Plan shall be one (1) year effectively immediately upon its approval of the Lumber Dealer Permit. This Business Permit will valid until December 31, 2026

Respectfully submitted by:


SANEL R. ARMEZA
Proprietor